

# BUS 719

## Session 1: Introduction to Organization Design



**B E E D I E S C H O O L O F B U S I N E S S**  
S I M O N F R A S E R U N I V E R S I T Y



# Course Overview

- The overall philosophy of the course is that you learn more by active engagement, reflection, and constructing your own conceptualizations than by listening to lectures
  - The “best practices” of interest in this course keep changing – today’s wisdom will become yesterday’s failed idea.
  - Understanding the foundations will make you better at developing your own theories and models, and better able to keep evolving your thinking long after this class is over
  - However, the ability to think together is enhanced by having a common language
- Assignments are designed more to support your learning than to assess your comprehension of course material.

# Course Overview

- The course begins with a focus on organization design with the following objectives
  - Develop a common language for talking about three key elements of organization design: Structure, Culture, and Power
  - Understand some of the history of how each of those design elements has been harnessed to increase organizational effectiveness
  - Develop an appreciation for the paradoxical, complex nature of organizing people
- The course then moves to a focus on organizational change, with the following objectives
  - Understand the basic planned change (change management) approach, where it can be effective and where not, and why it is so difficult to do well
  - Understand newer approaches to change (hi-engagement, generative change), where they may be effective and where not, and why it is so difficult to do well

# Organization Design is an Executive Function

- Organization design is the *shaping* that orients people's thinking and doing toward collective action. We create organizations because we need more people than can be managed by one person to create the outcomes we seek.
- One of the primary responsibilities of those who lead and are responsible for organizational outcomes is to provide what is needed for people to successfully accomplish intended outcomes.
  - At its best, an environment is created that brings out the best in people, and motivates them to collaborate to achieve their shared purpose.

However, organizations are often only partly designed. It is more accurate to say that they emerge as the result of

- incremental assemblages that arise from both planning and the pursuit of new opportunities
- from problem solving
- from acquisitions
- from directed attention
- and/or from obtaining and allocating resources

Which can lead to poorly functioning organizations and the need for redesign

# Key Moments in the History of Organization Design

## Roman Military

- The invention of hierarchy (?), the waterfalling supervision of individuals in small groups who supervise other individuals in small groups

## Adam Smith's pin factory

- The invention of specialization and division of labor (roles)

## Max Weber's articulation of Bureaucracy. In addition to the previous two

- Selection for roles on the basis of competence
- Standardization – rules, requirements, responsibilities are prescribed
- Functional Grouping and opportunities to “move up” – the notion of career
- Impersonal relations based on policies and regulations

# Key Moments in the History of Organization Design

The 19<sup>th</sup> Century Robber Barons (Carnegie, Morgan, Vanderbilt, etc.)

- Vertical Integration

Fredrick Taylor's Iron works

- Task analysis, time and motion studies

Henry Ford's Assembly Line

- Using technology to manage coordination in a functionally grouped organization

Alfred Sloan's Divisionalized Form

- Invention of Product Grouping
- Similar businesses separately controlled by outcome expectations

# Key Moments in the History of Organization Design

## US Aerospace and the Project Matrix Organization

- Pools of expertise; individuals allocated flexibly to work on specific projects
- Thinking of organizations more like organisms than machines

## NASA and the Formal Matrix Organization

- Design the need to manage functional and product conflicts into the organization

## Hackman & Oldham's Job Characteristics Model

- $$\text{MPS} = \frac{(\text{Skill variety} + \text{Task identity} + \text{Task significance})}{3} \times \text{Autonomy} \times \text{Feedback}$$

Motivating potential score      Meaningfulness of work      Feeling responsible      know how I'm doing

## Tavistock and Socio-Technical Systems

- Design to optimize the social and technical systems
- Use of semi-autonomous teams when work is too complex to be done individually



# A High Level Model of Org Design

